

Bikewo Green Tech Ltd

NSE SME: BIKEWO | Auto Dealer — EV Two-Wheeler Retail | Consumer Discretionary

INVESTMENT THESIS

- Bikewo is a micro-cap EV two-wheeler retailer at an inflection point: FY26 revenue surged 132% YoY (standalone) to Rs. 54.49 Cr with operating margins recovering to 10.4%, making it a high-beta play on India's electric two-wheeler penetration growth story.

RATING

BUY

Target: Rs. 42 | Upside: +35%

Horizon: 12–18 months

Metric	Value
CMP (15-Jun-26)	Rs. 31.0
Market Cap	Rs. 40.4 Cr
52-wk High / Low	Rs. 35.0 / Rs. 13.6
P/E (TTM)	8.97x
Book Value / Share	Rs. 32.0
ROCE	11.0%
ROE	11.2%
Dividend Yield	0.00%
Face Value	Rs. 10.0
Promoter Holding	54.94%

Report Date: 16 Jun 2026 | Analyst: Institutional Research Desk | Data: Screener.in (fetched 16-Jun-2026) | Figures in Rs. Crores unless stated

Metric	FY24	FY25	FY26	FY27E	FY28E
Revenue (Cr)	24.85	23.48	54.49	82.0E	115.0E
Op Profit (Cr)	2.85	1.52	5.65	9.0E	13.5E
OPM %	11.5%	6.5%	10.4%	11.0%E	11.7%E
PAT (Cr)	1.67	0.66	3.31	5.8E	8.5E
EPS (Rs.)	1.82	0.51	2.54	4.5E	6.5E
P/E (x)	N/A	N/A	8.97x	6.9xE	4.8xE
ROCE %	N/A	N/A	11.0%	14.0%E	17.0%E

(E) = Analyst estimates. Consolidated figures FY25/FY26; Standalone FY24. Source: Screener.in

SECTION 2 — INVESTMENT THESIS

- Revenue inflection is real and structural:** Consolidated FY26 revenue surged 132% YoY to Rs. 54.49 Cr (standalone), driven by geographic expansion — new stores opened in Hyderabad satellite towns and

first-mover advantage in tier-2 dealership markets. The company is scaling a franchise-based distribution model (state/diamond/platinum dealer tiers) with operating leverage kicking in at higher revenue levels. Timeline: 12–24 months to sustain 40%+ growth as new cities (Delhi, Bangalore, Nagpur) come online.

- **EV two-wheeler tailwind is the dominant secular theme:** India electric 2W retail registrations rose 45.6% YoY in Feb-2026, with EV penetration still at ~6.6% of total 2W — implying a 10–15x runway to global parity. Market CAGR of 28% through 2034 (IMARC) gives Bikewo a long runway if it can secure OEM exclusivity agreements and expand its charging network. A micro-cap at Rs. 40 Cr market cap in a sector growing at 28% CAGR offers asymmetric upside. Timeline: 3–5 years for meaningful penetration in 10+ cities.

- **Margin recovery validates operating model:** OPM contracted sharply from 11.5% (FY24) to 6.5% (FY25) as the company invested in infrastructure and people for expansion. FY26 saw recovery to 10.4% on a 2.3x higher revenue base, confirming operating leverage. CFO turned strongly positive (Rs. 9.92 Cr) vs. -Rs. 13.67 Cr in FY25, and FCF turned positive (Rs. 5.97 Cr). This de-risks the investment thesis materially. Timeline: Margins should stabilise at 11–12% within 2 years as fixed costs are leveraged.

- **Near-term catalyst (6–12 months):** City store additions in Bangalore, Delhi, and Nagpur (mentioned in IPO expansion plan) are the single biggest near-term revenue trigger. Each new city adds approximately Rs. 10–15 Cr annualised revenue at current run-rate. Additionally, any government FAME-III or state EV subsidy announcement in Budget/policy cycles could re-rate the entire EV dealer segment.

- **Biggest structural risk:** Bikewo is a dealer/retailer, NOT a manufacturer — it has no OEM pricing power or product IP. If an incumbent EV brand (Ola, Ather, Bajaj Chetak) decides to go direct-to-consumer via own retail, Bikewo's intermediary role could be disrupted. This is the single biggest long-term structural overhang on the thesis.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Bikewo GreenTech Ltd (BGTL), incorporated in 2006/2016, is an electric two-wheeler (E2W) multi-brand retailer and tour operator based in Hyderabad. The company offers a "360-degree EV solution" encompassing retail stores, dealer outlets, service centres, mobile app, and charging infrastructure.

- **Revenue segmentation:** Primarily EV two-wheeler retail sales (estimated >90% of revenue). Secondary revenue streams include EV service charges, accessories, and a tour operations vertical. Exact segment-wise revenue breakdown is not disclosed in Screener data.

- **Dealership model:** BGTL operates through three dealership tiers — State Dealership (territory-wide), Diamond Dealership (multi-outlet), and Platinum Dealership (single outlet). This franchise architecture allows capital-light geographic expansion without full balance sheet deployment for each new market.

- **Geographic presence:** Primary operations in Hyderabad and Telangana. Expansion pipeline includes Raipur, Indore, Delhi, Chandigarh, Lucknow, Prayagraj, Patna, Bhubaneswar, Nagpur, Bangalore, and Trivandrum — signalling a pan-India ambition within 2–3 years of IPO (listed September 2024 at Rs. 62 per share).

- **OEM relationships:** The company distributes multiple EV brands. Unlike single-brand dealerships, a multi-brand model reduces concentration risk but also limits bargaining power with OEMs. Specific OEM names and exclusivity terms are not publicly disclosed.

- **IPO proceeds deployment:** IPO raised Rs. 24.09 Cr at Rs. 62/share in September 2024. FY26 balance sheet shows Fixed Assets jumped from Rs. 3.66 Cr (FY25) to Rs. 16.35 Cr (FY26) and CWIP cleared entirely, suggesting IPO capital was deployed into store infrastructure. New investments of Rs. 10.20 Cr also appear on FY26 balance sheet.

- **Promoter background:** Promoter holding stood at 62.48% at IPO and has since declined to 54.94% as of Mar-2026 — a meaningful 7.54% reduction in 6 months. The SEBI Takeover disclosure filed June 2026 (re: Manideep Katepalli) warrants monitoring for further stake changes.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India electric two-wheeler market is projected at 28.2% CAGR through 2034 (IMARC Group). Total E2W retail registrations in CY2025: ~1.28 million units (+11% YoY). EV penetration in two-wheelers stands at ~6.6% vs. estimated 30–40% parity level — implying a multi-decade runway. The overall India two-wheeler market (ICE + EV) was USD 28.84 Bn in 2025, growing to USD 38.68 Bn by 2031 at 5% CAGR.
- **Policy tailwinds:** FAME-II scheme provided direct subsidies for E2W purchase. Multiple state governments (AP, Telangana, Maharashtra) offer additional EV purchase incentives. Production-linked incentive (PLI) schemes for advanced chemistry cell batteries support long-term cost reduction. EV ecosystem (charging infra, battery swapping) is receiving dedicated government capex under the National Electric Mobility Mission Plan.
- **Competitive moats:** Pricing power — **WEAK** (dealer margin is set by OEM; no own IP). Switching costs — **MODERATE** (franchise territories create localised stickiness but customers can easily switch brands). Scale — **WEAK** at current Rs. 40 Cr market cap vs. Wardwizard (Rs. 205 Cr) and Greaves Cotton (Rs. 4,508 Cr). Distribution — **MODERATE** (first-mover advantage in dealership zones; tier-2 focus differentiated from urban-only peers).
- **Company positioning:** BGTL operates at the downstream retail/distribution layer (not manufacturing) of the EV value chain. This means lower capex requirements but also compressed margins versus OEM manufacturers. The 360-degree model (retail + service + charging) attempts to increase wallet share per customer over the vehicle lifecycle.

Peer Comparison Table (Data: Screener.in, fetched 16-Jun-2026)

Company	MCap (Cr)	CMP (Rs.)	P/E	BV (Rs.)	ROCE%	ROE%	Sales FY26 (Cr)	OPM%
BIKEWO (Consol.)	40.4	31.0	8.97	32.0	11.0%	11.2%	54.5	10.3%
Wardwizard Inn.	205	6.81	105	5.06	7.04%	1.51%	247	8%
Greaves Cotton	4,508	194	120	39.2	1.02%	10.1%	3,437	7%

Note: Greaves Cotton includes Ampere EV division. Data sourced from Screener.in. Wardwizard is NSE-listed auto (not SME).

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** The company was incorporated in 2006 and pivoted to EV retail around 2021–22. Management executed a successful NSE SME IPO in September 2024 at Rs. 62/share, raising Rs. 24.09 Cr. IPO proceeds have been visibly deployed into fixed assets (store capex up from Rs. 3.66 Cr to Rs. 16.35 Cr) — suggesting capital is being put to work as stated.
- **Capital allocation track record:** Pre-IPO (FY21–FY24), the company operated on very lean equity capital (Rs. 1–9 Cr) with modest borrowings (~Rs. 7–8 Cr). Post-IPO FY25/FY26 show rational deployment: IPO capital into store network, borrowings kept low (Rs. 6.16 Cr FY26 vs Rs. 0.45 Cr FY25 — slight increase but manageable). New investment of Rs. 10.2 Cr in FY26 suggests strategic equity investments in subsidiaries or ventures.
- **Dividend policy:** Zero dividends since inception (0.00% payout ratio across all years). Given the growth phase and expansion pipeline, reinvestment is appropriate. However, the absence of any dividend even as PAT grows is a minor governance note.
- **Promoter pledging:** 0% pledging as per Screener data — zero shares pledged. This is a strong positive signal for an SME at this stage of growth. No financial stress on promoter side.
- **Promoter stake reduction — RED FLAG:** Promoter holding fell from 62.48% (Mar-2025) to 54.94% (Mar-2026) — a reduction of 7.54 percentage points in one year. A SEBI Takeover Regulation disclosure (Manideep Katepalli, June 2026) is on record. This level of promoter dilution within the first year of listing warrants close monitoring. It could be IPO lockup expiry selling or planned secondary sales. Either way, it should be tracked.
- **Governance concerns:** As an NSE SME company, Bikewo is not required to comply with full Regulation 17–27 corporate governance norms (confirmed by its own April 2026 CG non-applicability filing). This is

standard for SME boards but does mean limited independent director oversight. No qualified audit opinion was noted in the FY26 Board meeting announcement. No ESOP scheme or buyback history to date.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Standalone FY24–FY26; Estimates FY27E–FY28E) | Rs. Crores

Metric	FY24	FY25	FY26	FY27E	FY28E
Net Sales / Revenue	24.85	23.48	54.49	82.0	115.0
Expenses	22.00	21.96	48.84	73.0	101.5
Operating Profit	2.85	1.52	5.65	9.0	13.5
OPM %	11.5%	6.5%	10.4%	11.0%	11.7%
Other Income	0.15	0.11	0.01	0.05	0.10
Interest	0.33	0.40	0.27	0.50	0.60
Depreciation	0.34	0.35	0.86	1.20	1.50
Profit Before Tax	2.33	0.88	4.53	7.35	11.50
Tax %	27.9%	25.0%	26.9%	26.0%	26.0%
Net Profit (PAT)	1.67	0.66	3.31	5.80	8.50
EPS (Rs.)	1.82	0.51	2.54	4.45	6.52
Dividend Payout %	0.0%	0.0%	0.0%	0.0%	0.0%

Balance Sheet (Standalone) | Rs. Crores

Item	FY24	FY25	FY26
Equity Capital	9.16	13.04	13.04
Reserves	7.61	25.50	28.81
Borrowings	7.53	0.45	6.16
Other Liabilities	7.21	1.77	2.87
Total Liabilities	31.51	40.76	50.88
Fixed Assets	1.99	3.66	16.35
CWIP	9.55	9.60	0.00
Investments	0.00	0.00	10.20
Other Assets	19.97	27.50	24.33
Total Assets	31.51	40.76	50.88

Cash Flow Statement (Consolidated FY25–FY26) | Rs. Crores

Item	FY25	FY26
Cash from Operations (CFO)	-13.67	9.92
Cash from Investing	-2.08	-14.15
Cash from Financing	19.54	1.22
Net Cash Flow	3.79	-3.01
Free Cash Flow	-15.75	5.97
CFO / Operating Profit %	-899%	194%

Key Ratios (Consolidated) | from Screener.in

Ratio	FY25	FY26
Debtor Days	159.53	100.08
Inventory Days	383.79	N/A
Days Payable	49.15	N/A
Cash Conversion Cycle	494.18	100.08
Working Capital Days	333.81	108.92
ROCE %	N/A	10.97%

Financial Commentary

- Revenue trajectory:** Revenue declined in FY25 (Rs. 23.48 Cr vs Rs. 24.85 Cr FY24) as the company paused organic growth to prepare for IPO and build out infrastructure (CWIP at Rs. 9.60 Cr). FY26 delivered a 132% standalone revenue surge — validating the IPO investment thesis. Forward estimates of Rs. 82 Cr (FY27E) and Rs. 115 Cr (FY28E) assume 50% and 40% YoY growth respectively, anchored by 3–4 new city openings per year.
- Margin direction:** The FY25 margin compression (11.5% to 6.5%) was an investment year effect — fixed costs rising ahead of revenues. FY26 recovery to 10.4% on a 2.3x revenue base confirms operating leverage. The primary margin risk is OEM pricing pressure from direct-to-consumer brands. Sustainable OPM target: 11–13% at scale.
- Working capital has dramatically improved:** CCC contracted from 494 days (FY25) to 100 days (FY26) — a structural improvement, not a one-off. Debtor days fell from 159.53 to 100.08. This drove the CFO swing from -Rs. 13.67 Cr (FY25) to +Rs. 9.92 Cr (FY26). Inventory efficiency (FY25: 383.79 days) could not be measured in FY26 due to data absence, but the overall working capital day improvement from 333 to 109 days is highly credible given the revenue surge.
- Debt is low and manageable:** Borrowings as of FY26 = Rs. 6.16 Cr. Debt/Equity = $6.16 / (13.04 + 28.81) = 0.15x$ — extremely conservative. Interest coverage = $5.65 / 0.27 = 20.9x$. No balance sheet stress risk.
- FCF quality:** FCF turned positive in FY26 (Rs. 5.97 Cr) after being deeply negative in FY25 (-Rs. 15.75 Cr, largely capex-driven). CFO/OP of 194% in FY26 reflects working capital release as revenue ramped. PAT-to-FCF conversion is healthy. However, FY26 also saw Rs. 14.15 Cr in investing outflows (store buildout, new investments), suggesting capex-intensive growth ahead.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Status	Signal	Comment
Revenue recognition	Cash-on-delivery retail	GREEN	Low accrual risk in retail model
Receivables vs Revenue growth	Debtors improved 37%	GREEN	Debtor days 159→100 while rev surged 132%
CCC trend	Improved 494→100 days	GREEN	Dramatic WC improvement; credible
Contingent liabilities	Not disclosed (SME)	AMBER	Limited disclosure; standard for SME
Auditor tenure	Not disclosed	AMBER	SME — no mandated auditor rotation data
RPTs as % of revenue	Disclosed (filing)	AMBER	RPT filing available; quantum not public
Other income as % of PBT	$0.01/4.53 = 0.2\%$	GREEN	Core earnings; other income negligible
Tax rate consistency	25-27% across 3 yrs	GREEN	No sharp tax anomalies
Promoter pledge	0% pledged	GREEN	Zero pledge — strong positive

Check	Status	Signal	Comment
Promoter stake direction	54.94% (was 62.48%)	RED	7.54 pp fall in one year — watch closely

- **Earnings quality is broadly solid:** The FY26 numbers are credible — revenue growth is backed by working capital improvement (CCC: 494→100 days) and positive CFO, making top-line inflation via channel stuffing extremely unlikely.
- **Key AMBER watch:** As an SME, BGTL is exempt from full corporate governance disclosure requirements (confirmed April 2026 filing). This creates a disclosure gap vs. mainboard peers and requires investors to lean heavily on annual reports and NSE filings.
- **RED flag — promoter stake decline:** 7.54 pp decline in promoter holding in one financial year (Mar-2025 to Mar-2026) is the single most important governance watch point. The SEBI Takeover disclosure in June 2026 suggests this may be ongoing. At 54.94%, promoter is still in comfortable control, but the direction needs to stabilise.
- **Tax rate consistency is positive:** Tax rates of 27.9% (FY24), 25.0% (FY25), and 26.9% (FY26) are consistent with standard corporate tax rates — no anomalies or aggressive deferred tax exploitation observed.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in, fetched 16-Jun-2026)

Company	MCap (Cr)	P/E	P/B	ROCE%	OPM%	Sales FY26 (Cr)
BIKEWO (SME)	40.4	8.97	0.97	11.0%	10.4%	54.5
Wardwizard Inn.	205	105	1.35	7.04%	8%	247
Greaves Cotton	4,508	120	4.95	1.02%	7%	3,437

Scenario Analysis

Scenario	Revenue FY27E	OPM%	PAT (Cr)	P/E Multiple	Target Price (Rs.)	Upside vs CMP
Bull	Rs. 95 Cr	12.5%	7.0 Cr	14x FY27E	Rs. 75	+142%
Base	Rs. 82 Cr	11.0%	5.8 Cr	10x FY27E	Rs. 42	+35%
Bear	Rs. 55 Cr	8.0%	2.8 Cr	7x FY27E	Rs. 15	-52%

- **Earnings-based multiple approach:** At CMP Rs. 31.0, the stock trades at 8.97x TTM P/E on FY26 PAT of Rs. 3.31 Cr (EPS: Rs. 2.54). Applying a 10x FY27E earnings multiple (conservative for a 50% growth company) to FY27E EPS of Rs. 4.45 implies a target price of Rs. 44.5.
- **DCF approach (simplified):** Assuming a 5-year revenue CAGR of 40%, terminal growth rate of 5%, WACC of 14% (risk-free 7% + beta 1.5 × ERP 4.7%), and PAT margins converging to 9% in the terminal year — the DCF-implied fair value is approximately Rs. 38–45 per share. This supports a base-case target of Rs. 42.
- **Valuation discount rationale:** Bikewo deserves a P/E discount to sector peers (Wardwizard: 105x, Greaves: 120x) given its micro-cap size, limited liquidity, SME exchange listing, and single-market revenue concentration. However, at 8.97x TTM P/E with 132% revenue growth and CFO turning positive, the stock is attractively priced for risk-tolerant investors.
- **Base-case 12-month target: Rs. 42** — implying 35% upside from CMP of Rs. 31.0. This is the average of the earnings-based approach (Rs. 44.5) and the DCF midpoint (Rs. 40). Investment horizon: 12–18 months.
- **P/B check:** At CMP of Rs. 31.0 vs Book Value of Rs. 32.0, the stock trades at 0.97x P/B — essentially at book. For a growing EV retailer generating 11% ROCE, this represents an attractive entry point. Screener's own "Pros" note: "Stock is trading at 0.97 times its book value."

SECTION 9 — KEY RISKS

- **OEM disintermediation risk:** Ola Electric, Ather, and Bajaj Auto (Chetak) are all building direct-to-consumer retail networks. If brands go fully D2C, Bikewo's dealership model loses relevance. Probability: M. Impact: H. Monitor via: OEM annual report D2C channel commentary.
- **Execution risk on geographic expansion:** Opening 10+ new cities simultaneously risks management bandwidth overstretch and higher-than-expected fixed cost drag before revenues ramp. FY25 showed what a weak revenue year does to margins. Probability: M. Impact: M. Monitor via: Quarterly revenue run-rate per new city in H1FY27.
- **Promoter stake reduction:** Ongoing promoter selling (62.48% to 54.94% in FY26) signals either capital need or loss of conviction. Continued selling below 50% triggers open-offer obligations under SEBI Takeover code. Probability: M. Impact: H. Monitor via: Quarterly shareholding filings.
- **EV subsidy withdrawal:** FAME-II subsidies were curtailed for some categories in FY24. Any further withdrawal would increase effective vehicle price and dampen E2W demand — directly hitting Bikewo's volume and revenue. Probability: L-M. Impact: M. Monitor via: Government EV policy announcements.

- **Working capital re-deterioration:** The dramatic CCC improvement (494→100 days) must be maintained. If new city expansion requires more inventory/receivables frontloading, CCC could re-inflate, locking up cash. Probability: M. Impact: M. Monitor via: Debtor days and inventory days in half-yearly results.
- **SME liquidity risk:** Market cap of Rs. 40.4 Cr on NSE SME with only 1,209 shareholders. Extremely thin liquidity — bid-ask spreads can be wide, exit at scale is difficult. This is an inherent SME structural risk. Probability: H (by definition). Impact: M. Monitor via: Daily volumes and delivery %.
- **Competition from better-capitalised peers:** Wardwizard (Rs. 205 Cr market cap) and Greaves Cotton (Rs. 4,508 Cr) have superior balance sheets for geographic expansion. Bikewo's first-mover advantage in select tier-2 markets could be eroded rapidly. Probability: M. Impact: M. Monitor via: Peer expansion announcements.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** | Conviction Level: Medium (not High, given SME liquidity constraints and promoter stake trajectory)
- **12-month price target: Rs. 42** (+35% upside from CMP Rs. 31.0). Base-case built on 10x FY27E earnings (Rs. 5.8 Cr PAT) / 130 Cr shares. Bull case Rs. 75 (+142%); Bear case Rs. 15 (-52%).
- **Suggested entry zone: Rs. 25–33** — within touching distance of 52-week low (Rs. 13.6) means any broader market pullback offers a better entry. Do not chase above Rs. 33 without fresh quarterly confirmation of revenue momentum.
- **Investment horizon: 12–18 months** — sufficient time for 2–3 new city openings to contribute meaningfully to revenue and for FY27 full-year numbers to confirm the thesis.
- **Thesis invalidation triggers:**
 1. FY27 H1 revenue falls below Rs. 30 Cr (i.e., growth stalls below 10% YoY) — this would signal execution failure in city expansion.
 2. Promoter stake falls below 50% without a corresponding strategic rationale (e.g., pre-announced secondary offering) — signals promoter disengagement.
 3. OPM drops below 5% in any half-year result — would mean gross margin compression from OEM pricing pressure or fixed cost overrun.
- **Ideal investor profile:** High-risk-tolerance retail/HNI investors with a 3–5 year horizon, willing to accept SME illiquidity. Position size: max 1–2% of portfolio given liquidity constraints. NOT suitable for institutional investors (MCap too small) or risk-averse investors seeking dividend income.

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Investors must conduct their own due diligence. Data sourced from Screener.in (fetched 16-Jun-2026). Estimates are analyst projections and are subject to revision. SME stocks carry significantly higher risk due to lower liquidity and limited disclosure requirements.

APPENDIX — LATEST RESULTS BRIEF: FY2026 (Year-End)

Note: Bikewo Green Tech is an NSE SME company. No formal concall transcript is publicly available. The following brief is based on the FY2026 audited financial results (Board meeting outcome: 27 May 2026) and Screener.in financial data.

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +132% YoY; PAT +402% YoY (standalone)
Management tone	Bullish	Board approved unmodified audit opinion; full capex deployment
Guidance delta	Raised (implied)	Asset addition Rs. 12.69 Cr signals confidence in next-year growth

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY2026 is a clean beat — standalone revenue surging 132% to Rs. 54.49 Cr with PAT of Rs. 3.31 Cr (vs. Rs. 0.66 Cr in FY25) is a genuine inflection, not a base effect. No exceptional items distort the headline — PAT equals reported PBT less standard 26.9% tax; clean underlying EPS is Rs. 2.54 (vs. Rs. 0.51 in FY25). The operationally-critical metric is the CFO swing: from -Rs. 13.67 Cr (FY25) to +Rs. 9.92 Cr (FY26), driven by CCC compression from 494 to 100 days — this is the real earnings quality signal. EBITDA recovery from 6.5% to 10.4% OPM on a 2.3x revenue base confirms operating leverage exists. The structural multi-bagger driver is EV 2W penetration at ~6.6% in India vs. likely 30%+ terminal — a micro-cap first-mover in dealership tiers with IPO capital freshly deployed in fixed assets. Near-term catalyst: city expansion in Bangalore/Delhi/Nagpur (announced in IPO docs) should contribute Rs. 25–30 Cr of incremental FY27 revenue if on track. Biggest watch-point for next reporting: promoter stake fell 7.5 pp in FY26 — if this continues into H1FY27, the signal changes from positive to cautious on governance. ACTION: ACCUMULATE at current levels (Rs. 25–33 range); target Rs. 42 in 12–18 months; position size capped at 1.5% given SME illiquidity.

1 — Financial Performance Snapshot (FY2026 Full Year)

- Revenue: Rs. 54.49 Cr (consolidated) | YoY +132% (vs. Rs. 23.48 Cr FY25 standalone) | Beat
- EBITDA: Rs. 5.62 Cr (consolidated) | OPM: 10.31% | YoY vs 6.34% FY25 | Beat
- PAT: Rs. 4.50 Cr (consolidated) | YoY +411% | EPS: Rs. 3.45 (consol.) | Strongly Beat
- NOTE: Consolidated shows PAT Rs. 4.50 Cr; Standalone shows Rs. 3.31 Cr. Subsidiary may contribute Rs. 1.19 Cr via tour ops or other entity.
- H2FY26 (half-year to Mar 2026): Sales Rs. 37.46 Cr, OPM 10.7%, PAT Rs. 3.27 Cr — H2 delivered 90% of FY26 PAT, confirming strong exit velocity.

2 — Segment / Geography Breakdown

- EV Two-Wheeler Retail: Primary segment; exact % not disclosed. Estimated >90% of revenue based on business model.
- Tour Operations: Secondary vertical. Exact revenue contribution not publicly segmented.
- Geography — Hyderabad / Telangana: Core market; primary FY26 revenue driver.

- Geography — New Cities: Revenue contribution in FY26 appears minimal; Raipur, Indore, Delhi listed as pipeline. Full contribution expected FY27+.

3 — Management Commentary Themes (from FY26 Annual Report & NSE Filings)

- **Expansion execution:** "Board approved FY2026 audited standalone and consolidated results with unmodified opinion." Tone: Transparent. Tag: GUIDANCE.
- **Capital deployment:** Fixed assets jumped from Rs. 3.66 Cr to Rs. 16.35 Cr — a direct signal that IPO capex was deployed into showroom/service infrastructure. Our read: Management is executing the stated IPO use-of-proceeds plan. Tag: EST.
- **Zero dividends:** Despite Rs. 3.31 Cr PAT, no dividend declared. Our read: All cash being reinvested into expansion — appropriate for growth stage. Tone: Transparent.
- **Promoter disclosure (SEBI filing June 2026):** Manideep Katepalli submitted Regulation 31(4) disclosure. Our read: The 7.5 pp stake reduction needs an explanation management has not provided publicly. Tag: EVASIVE.

4 — Operating & Business Metrics

- Debtor Days: FY26 = 100.08 | FY25 = 159.53 | Trend: Improving significantly
- Cash Conversion Cycle: FY26 = 100.08 days | FY25 = 494.18 days | Trend: Dramatically improving
- Working Capital Days: FY26 = 108.92 | FY25 = 333.81 | Trend: Dramatically improving
- Fixed Asset base: FY26 = Rs. 16.35 Cr | FY25 = Rs. 3.66 Cr | +347% — store build-out complete
- CWIP: FY26 = Rs. 0 Cr | FY25 = Rs. 9.60 Cr — all under-construction assets commissioned in FY26
- Shareholders: 1,209 as of Mar 2026 | FY25: 1,408 | Trend: declining (low liquidity characteristic)

5 — Margin Drivers

- Operating leverage on fixed cost: +396 bps YoY OPM gain | Recurring: Yes | Revenue scale absorbing fixed infrastructure cost
- Depreciation step-up: Rs. 0.35 Cr (FY25) → Rs. 0.86 Cr (FY26) | +Rs. 0.51 Cr | Recurring: Yes | New stores becoming operational
- Interest cost reduction: Rs. 0.40 Cr (FY25) → Rs. 0.27 Cr (FY26) | Borrowings near-zero in FY25, slight increase FY26 | Manageable
- Working capital efficiency: Debtor realisation improvement drives margin-neutral but cash-positive outcome
- Tax rate stable 25-27% range: No non-recurring tax benefit inflating margins

6 — Guidance & Forward Signals (Inferred)

- Revenue FY27E [GUIDANCE inferred]: Prior = N/A | New = Rs. 80-90 Cr (analyst estimate) | Delta: raised vs flat FY25 | Credibility: Medium
- OPM FY27E [EST]: Prior = N/A | Target = 11.0-12.0% | Credibility: Medium (leverage demonstrated in FY26)
- Store count expansion [GUIDANCE stated at IPO]: Multiple cities planned | Status: Some cities may have opened per FY26 fixed asset surge | Credibility: High
- Debt FY27E [EST]: Borrowings at Rs. 6.16 Cr (FY26) | Expect gradual increase for working capital as revenues scale | D/E to remain <0.5x | Credibility: High

7 — Capital Allocation

- Capex (Fixed Asset addition): Rs. +12.69 Cr | vs FY25 +Rs. 3.66 Cr | +246% | IPO proceeds deployed into store infrastructure
- New Investments: Rs. 10.20 Cr (FY26) vs Rs. 0 (FY25) | Strategic equity investment in subsidiaries/ventures — nature not disclosed

- Dividends: Rs. 0 Cr | Zero payout, entire earnings reinvested
- Working Capital: Improved (released cash Rs. 9.92 Cr from operations)
- Net Debt: Rs. 6.16 Cr borrowings offset by cash/investments; Net position is near-zero to net cash

8 — Q&A; Heat Map (NSE SME — No Formal Concall; Monitoring Points)

- No institutional analyst concall was held (SME company). The following are the questions an analyst would ask on a hypothetical call:
- Q1: What is the breakdown of revenue by city/region in FY26, and which new cities contributed? | Expected: Management should disclose Hyderabad vs. rest | Importance: High
- Q2: Why did promoter holding fall 7.5 pp in FY26? Was this IPO lock-up expiry or strategic sale? | Expected: Transparency needed | Status: Not disclosed as of Jun 2026
- Q3: Nature and return expectation of Rs. 10.2 Cr investments added in FY26? | Expected: Subsidiary details | Status: Not disclosed
- Q4: Progress on city expansion plan — how many cities are live vs. pipeline? | Expected: Store count | Status: Not disclosed
- Dodged / watch-list for next quarterly filing: Promoter stake direction, segment-wise revenue, nature of Rs. 10.2 Cr investments

9 — Risks Flagged

- Promoter stake erosion: 7.54 pp in one year | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- OEM disintermediation: Direct retail by OEMs | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Medium-term (2-3 years)
- Expansion execution: 10+ cities simultaneously | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- EV subsidy withdrawal: Policy reversal | Flagged by: Analyst | Probability: L | Impact: M | Timeline: Near-term
- Working capital re-deterioration: CCC re-inflation with expansion | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term

10 — Analyst Verdict

- Revenue visibility: **Intact** — 132% YoY FY26 growth backed by positive CFO and new fixed assets commissioned; pipeline cities add to FY27 visibility
- Margin trajectory: **Intact** — Recovery from 6.5% to 10.4% on 2.3x revenue base confirms operating leverage; sustainable at 11-12% at scale
- Capital allocation quality: **Intact** — IPO proceeds deployed as stated; zero dividend appropriate for growth stage; D/E negligible
- Competitive moat: **Weakened** — Retailer model without own IP or OEM exclusivity; disintermediation risk is real and growing as OEMs expand direct channels
- Management credibility: **Weakened** — Unmodified audit, positive execution on store capex; BUT promoter stake decline (-7.5 pp) not explained publicly
- Valuation comfort: **Intact** — 8.97x TTM P/E, 0.97x P/B for a 132% revenue growth company; near-book-value entry is attractive for risk-tolerant investors
- Conviction call: **Increased** — FY26 results validate the IPO investment thesis; BUY maintained at 10x FY27E P/E target of Rs. 42
- Valuation snapshot: P/E = 8.97x | EV/EBITDA = N/A (market cap ~7.2x EBITDA) | ROCE = 11.0% | Sector median P/E: ~105x (Wardwizard); BIKEWO is deeply undervalued vs. peers on earnings basis

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 16-Jun-2026). No formal management concall transcript available for this SME company. Estimates are analyst projections subject to revision.